

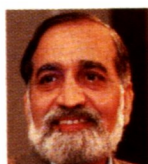


ON HOLD: Exporters have had to refuse new orders

units in the cottage and small-sector segments will close, hitting industries like textiles, the biggest employer after agriculture. FIEO's Gupta expects 80 lakh jobs to be cut by March 2008.

Exporters don't see any light at the end of this tunnel and the situation isn't likely to change soon for them. Given the nine per cent plus growth in GDP, inflows—ranging from rising FDI, portfolio investments of FIIs, private equity and remittances—will only rise. The long-term view on the rupee is clearly positive because of sustained investor interest in India. Says Madhusudan Somani, assistant director for trading, Yes Bank, "On a three-year horizon, the rupee is set to appreciate." Thanks to the phantom of inflation, RBI, which has been buying dollars, can only intervene so much as every dollar bought adds to liquidity and fuel price inflation. Worse, even domestic industry is suffering, as import substitution robs even domestic producers of their clientele. Construction companies, for instance, find it cheaper to import from China. The import substitution virus will only spread unless the centre wakes up.

At an industry level, the Government has not been able to deliver the sops exporters have sought. FIEO has been asking for measures like



"The Centre should extend the STPI scheme and section 10 A/B tax benefits by 10 years."

KIRAN KARNIK, PRESIDENT, NASSCOM

the refund of all un-rebated taxes and duties levied by Central and state governments, a scheme to neutralise the high cost of electricity and an export marketing fund with a corpus worth 0.5 per cent of exports.

While exporters at large have demanded such steps, the auto industry has sought graded incentives for large exporters and the lowering of import duties. The IT industry, for its part, has been demanding the extension of the STPI (Software Trade Parks of India) scheme beyond 2009 by another 10 years. Gopalakrishnan offers another suggestion, "The government can sign the totalisation agreement with the United States so that Indian companies don't have to contribute a substantial sum towards employee welfare."

Policy-makers, however, do have their work cut out. On the one hand, they need to work out sops to help exporters tide over the crisis and at a macro level they need to curb the dollar inflow to stem the rising rupee.

Evidently, the Government has chosen the latter. SEBI on October 18 proposed restrictions on the issuance of participatory notes (PNS) by FIIs. As per the paper, FIIs and their sub-accounts shall not issue or renew offshore derivative instruments with underlying as derivatives with immediate effect. These PNS are required to wind up their current position over 18 months, during which period SEBI will review the position from time to time. While the markets tanked by 1500 points the next day, the real impact will reverberate over the next few months as the market sentiment takes a hit.

While this may be a first step, the Government and RBI will now have to work out how to keep the rupee at a competitive equilibrium level. While it's important to let the rupee find its own level against the dollar, faster accumulation of reserves by RBI will help stem the rise of the currency, according to Ashima Goyal, Professor of economics at the Indira Gandhi Institute for Development Research. Also, a two-way movement for the rupee is important if speculation is to be prevented. Either way, there is no fear that investor interest in India will ebb soon. If it's not the currency markets, then it's the stock markets—dollars will chase new growth. ■



"All un-rebated taxes and duties levied by the Centre and states should be refunded."

GANESH K. GUPTA, PRESIDENT, FIEO